

Employer Compliance audits

Learn about the process

The purpose of an employer compliance audit is to determine if the employer is compliant and if there is any unreported income or benefits

1. Account being reviewed

CRA informs you that your account has been selected for audit and the auditor schedules the initial interview

2. Initial interview or meeting

Prepare the necessary documents and conduct the initial interview with the auditor either in person or online



Common topics reviewed

- **Employee income** – Ensures that all employment income is properly reported
- **Employee benefits** – Covers taxable benefits such as parking or vehicle allowances
- **Shareholder benefits** – Ensures benefits provided to shareholders are reported
- **Employment relationship** – Addresses improper determination of employment status
- **Deductions and remittances** – Review and ensure correct withholdings and remittances of CPP, EI and income tax are made

3. Audit

The CRA auditor reviews your books and records either in-person or online

4. Results

The CRA auditor provides the detailed results of the audit

- **Keep accurate records** – Maintain thorough books and records and payroll documentation
- **Stay compliant** – Regularly review CRA updates and payroll compliance rules

